

Bangladesh Studies
Economy of Bangladesh
Article 02

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April 26, 2020

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1 Introduction

Human beings are always facing innumerable wants throughout their life. If one want is fulfilled, gradually many more wants crop up. To fulfill these wants, human beings earn money by engaging themselves in various works in a society. But, compared to unlimited

wants, resources are limited or inadequate. So, man constantly makes efforts to fulfill his demand with limited resources. The nature of these wants of human beings and of their efforts to meet these wants has been remaining as it is since the orientation of the world.

But, in recent years the wants of man have increased manifold and activities toward meeting these wants have also increased enormously. Compared to man's requirement, resources are scarce. So, economic problems are more than they were in earlier days. Economics as a subject to discuss how man earns money by engaging themselves in different economic activities and how he tries to fulfill innumerable wants with his limited income. The knowledge of economics is indispensable for knowing well how resources can be properly used to solve the multifarious problems of the society.

2 Economic activities

Human wants are unlimited. When one want is fulfilled many other wants appear. In everyday life, man feels the want of innumerable things like food, clothes, housing, medicine etc. money is required to purchase these things. To earn this money man engages himself in different activities. Again man purchases essential things by spending this earned money and money fulfills wants by consuming them. In this way man earns money and spends it to fulfill his wants and the activities which he performs in this regard are called economic activities. So, the economic activities of human beings are mainly of two types-

1. Activities related to earning money and
2. Activities related to spending money.

The main objective of economic activities is to satisfy wants through consumption. Activity that does not have the purpose of earning and spending money, such as learning songs as an amateur or rearing children by a mother, etc. are not economic activities. Because no transactions of money are required to be made for these activities. Again even if it is possible to earn money through theft, or begging, they are not considered economic activities. Because, these activities are against society and morality. So, men do day to day activities relating to earning and spending of money are called economic activities.

3 The economic activities of the people of Bangladesh

The nature of economic activities of any country depends upon the country's geographical and natural conditions, traits of the race, population, rate of education, stage of development and the overall socio-economic conditions. The major economic activities of the people of Bangladesh are discussed below.

1. **Agriculture:** Bangladesh is an agricultural country. Agriculture is the occupation of about 70 percent of the people of this country. The farmers produce different crops in the fields and earn money in exchange of that. So the main economic activities of the country are agricultural works.
2. **Business and trade:** A large number of people of Bangladesh both in rural and urban areas earn their livelihood from different types of small and medium size business. Moreover, many people are engaged in big trading centers located in towns.
3. **Service:** Other important economic activities are services in mills, factories, offices, educational institutions and various government and non government organizations. A huge number of laborers, employees and officers earn income by serving in these places.
4. **Work in small and cottage industries:** Both in urban and rural areas of Bangladesh there are various types of small and cottage industries. Many people of our country earn their livelihood serving in these organizations by producing various commodities. So this sort of work is also important economic activities.
5. **Fish cultivation and catching fishes:** In Bangladesh ponds, tanks etc. are used as places for fish cultivation on commercial basis. The fisherman of our country catches fish from canal, marshy areas, rivers and seas and earns money by selling them.
6. **Driving vehicles:** A large number of people earn their livelihood driving various categories of vehicles both on land and water routes. Earning income by providing transport such as bus, trucks, scooters, rickshaws, carts, cattle-cart, launch, boats etc. are other major economic activities.
7. **Rearing animals and birds:** Although not on a large scale, but some people earn their livelihood by rearing animals and birds in Bangladesh. Establishing farms for cows, buffaloes, goats, lambs, ducks and hens they earn money. Recently some people have come up to establish farms for rearing animals and birds as a means of self-employment.

Besides, there are various small professions included in economic activities of our country. Such as, washer man, barber, tailor, blacksmith, potter, cobbler etc. classes of people in urban and rural areas earn their incomes.

4 Different economic system

In all countries of the world, one of the main objects of man is to achieve maximum economic welfare through solution of economic problems. The methods which will help to solve these economic problems of the society depend on the prevailing economic system in the country.

The economic rules and regulations and the environmental factors by which overall economic activities of a country are conducted is called the economic system. Different types of economic systems prevail in different countries of the world, such as:

1. Capitalistic economic system,
2. Socialistic economic system,
3. Mixed economic system,

5 Characteristics of capitalistic economic system

There is private ownership on different factors of production in this type of economic system. All economic activities of the society including production, exchange and consumption are conducted on individual initiative. The producer and businessmen produce goods and commodities and make transaction according to their own desire with the objective of making profit. There is no governmental control in these matters. That is why this type of economic system is called open and free economic system. The major characteristics of the capitalistic system are discussed below:

1. **Individual ownership of resources:** In a capitalistic economy there is individual ownership of land, factories and other properties. The individual can freely enjoy and transfer his property.
2. **Non-government initiative:** In this type of society individual can acquire resources from production, establish mills and factories, from trades and businesses according to their choice and facilities available. There is no government intervention or control in the case of non-government initiative.
3. **Automatic pricing system:** all economic functions in capitalistic are regulated through automatic pricing system. The price of a commodity is determined by demand and supply, and production and consumption are based on pricing system.
4. **Freedom of consumers:** every consumer can enjoy freely any commodity according to his ability, desire and choice. The producers produce goods according to the demand of consumers.
5. **Free competition:** In capitalistic economic system there is free competition among large number of producers. As a result of price is low and new inventions become possible.
6. **Profit earning:** In capitalism, the ultimate objective of all production is to earn profit. If there is possibility of more profit, there will be more investment. Consequently, there may be more production of some goods and less production in other cases.

Therefore, in a capitalistic or free economic system, the production functions, trades and businesses etc. of the country are completely under individual initiative. There is no government control of any kind. All these activities are carried on for earning profit through automatic pricing system.

6 Characteristics of socialistic economic system

Under this system, there is state control over land, mills and factories, minerals and other wealth. As there is no individual ownership of wealth, there is no individual in matters of production, trade and business etc. A central planning authority exists here. The planning authority decides about the commodities and their quantity to be produced. It also decides about the methods and of production and distribution. There is no scope of earning profit by individual in socialism. Production distribution and consumption matters are controlled keeping an eye to the overall demand of the society.

Karl Marx and Angles are the main exponents of socialism. Even after the fall of socialism in Russia, socialistic economic system prevails in some countries of the world. But pattern of socialism is not the same in all countries. However, there are some general characteristics of socialism economic system. Now some characteristics of socialistic economic system are given below:

1. **State ownership of wealth:** In a real socialistic system, state ownership exists over land, mills and factories, minerals and other resources. The general public of the country or the state is the owner of the wealth. Whatever is earned from these resources is spent for the society.
2. **Absence of individual initiative:** Initiative means taking steps in production or trades and commerce. In socialism, all the factors of production are under the control of the state. So there is no individual initiative in matters of establishing industrial factories or carrying out trades and businesses, etc. as a result of there is no scope of making any individual profit. All activities relating to industry, agriculture, trade and commerce, etc. are carried out at the initiative of the state.
3. **Central planning:** In any real socialistic country, all economic activities are performed at the instruction of the central planning authority. That planning authority decides about the commodities and their quantity that are to be produced in the country and also the method of production.
4. **Limitation of the freedom of consumer:** In socialistic countries, production and import of goods and commodities take place at the initiative of government according to the needs of the society. For this reason, consumers can not spend money purchase goods of any type in sufficient quantities according to their choice. That is why, it is said that freedom of consumer in socialism is limited.

Therefore in socialistic economic system, wealth and factors of production are under the ownership of the state. The central planning of the government decides about commodities and their quantity to be produced and the process of production to be followed. Productive functions, trade and commerce etc, are regulated under government management and no individual initiative exists.

7 Characteristics of mixed economic system

The mixed economic system where a state and individual ownership and government and non-government initiative exists side by side is called mixed economic system or mixed economy. A balance maintain between capitalism and socialism under this system. In this case like capitalism there is freedom of individual ownership of wealth, profit making and individual initiative. But there is no governmental control over economic activities at the non government level. Besides, some large and basic industries and significant trade commercial establishments are conducted at the government level. Some important characteristics of mixed economic system are:

1. **Co-existence of government and non-government sectors:** under this economic system, there is freedom of non-government ownership and individual ownership and individual initiative, there are some industrial factors, trade and commerce etc, conducted under state ownership. For example, in spite of greater prominence of the government sector in Bangladesh, many large industrial enterprises and some financial institutions are being conducted under non-government ownership.
2. **Government control:** Government rules and regulations are imposed on production, trade and commerce etc, in cases where necessary even though they are operated on individual ownership. Government control is imposed especially in cases of monopoly business.
3. **Pricing system:** In a mixed economic system, like capitalism, production and consumption are regulated by the automatic pricing system. But this pricing system is partially controlled in some cases by government rules and regulations.
4. **Freedom of consumers:** In a mixed economic system, commodities are produced in accordance with the demand of the consumer. Consumers enjoy them according to their ability and choice. But government sometimes controls production and prices of some specific goods for the greater interest of the public.
5. **Profit earning:** Under this system, the motive of profit earning remains active as there is full freedom of individual initiative. But the government keeps some control over the price and profit, keeping in mind the welfare of the public.

Under the mixed economic system, therefore, both government and non-government initiative exists side by side on mines and factories, trade and commerce, banking, insurance sectors, etc. These activities are not completely free, as there are government control and regulations in some cases. But freedom of earning profit is recognized under this system.

8 Underdeveloped, developing and developed economies

The economic conditions of all countries of the world are not the same. Some countries are very developed in respect of industry, agriculture, trade and commerce, etc. and the per capita income of their people and their standard of living are very high. Again many countries are economically less developed. Their per capita income is less and standard of living is low. That is why the countries of the world are classified into three groups on the basis of the level and stage of economic development such as:

- Underdeveloped countries;
- Developing countries; and
- Developed countries.

1. Underdeveloped Countries :

Those countries are called underdeveloped ones where no economic development in real term has taken place and where per capita of the people is less and the standard of living is low. In this sort of economy, the importance of primary occupation is very high, capital is less, unemployment is high and most of the demands of the people remain unfulfilled. According to economist Collin Clark, Most of the people of underdeveloped countries earn their livelihood through their activities in primary occupation. Main Characteristics of Underdeveloped Countries are:

- (a) **Less Per Capita Income and Standard of Living:** In underdeveloped countries of low productivity in agriculture, industry and other sectors the per capita income of the people is low. As a result their standard of living is low. Most of the people are poor and deprived of minimum inputs and amenities of life.
- (b) **Over-dependence on Agriculture:** The economies of less developed countries are highly dependent on agriculture. In these countries as industry, trade and other services are not developed; the majority of the people depend upon agriculture. But agricultural system is not developed and per acre yield in agriculture is very low compared to other developed countries.
- (c) **Underdeveloped Industry:** Majority of the underdeveloped countries were under foreign subjugation for a long time. So, very few industries had been established in these countries. As a result, industries could not develop in these countries.

- (d) **Less Capital:** In underdeveloped countries since income of the people is less, saving is also low. For this reason sufficient amount of money is not available for making capital goods like machines, equipment, raw materials, building for factories.. As there is shortage of capital so establishment of mills and factories are hampered.
- (e) **Insufficient use of Natural Resource:** There are agriculture, forest, fishery, mineral etc. natural resources in many underdeveloped countries. But due to lack of sufficient finance and technical knowledge the extraction of these natural resources and its proper utilization is not possible.
- (f) **Wide-spread Unemployment:** In most of the underdeveloped countries the rate of population growth is high. But because of lack of development in industry, business establishment and in other professions the employment opportunities are limited.tus high scale of unemployment prevails in these countries.
- (g) **Lack of Technical Knowledge:** In underdeveloped countries due to lack of education, training, resource etc. the technical knowledge and efficiency of the laborers are less. As a result, industrial development is hindered.
- (h) **Underdeveloped Transport and Communication System:** In underdeveloped countries because of the lack of sufficient finance the desired development of roads, railways, barrage, electric and water supply, post, telegraph, etc. are not possible. For this whole transport and communication system of the country remains undeveloped.
- (i) **Illiteracy:** One of the features of underdeveloped countries is wide spread illiteracy. In this countries about 55 %(UNESCO-2010) people are illiterate. But recently for the sake of rapid economic development there has been an emphasis on the spread of education in these countries.
- (j) **Over-dependence on Foreign Aid:** Underdeveloped countries want to march forward towards development. But they lack resources. So, these countries remain dependent heavily on foreign aid.
- (k) **Adverse Social Environment:** In underdeveloped countries illiteracy, lack of education, superstition, religious dogmatism, the underdeveloped stage of science and technology etc. have been persisting for long time. So, social environment in these countries are not fully conducive to economic development.

In the present day world, the underdeveloped countries at their own initiative and also with the help of other countries are making effort towards development. Through various economic development programmes these countries have already been able to develop to some extent. So in real sense now-a-days the numbers of underdeveloped countries are very low. Countries like Mozambique, Ethiopia, and Maley etc may be called still underdeveloped.

2. Developing Countries:

The countries where economic development is taking place through planned programmes and where per capita income of the people and their standard of living are gradually increasing are called developing countries. The basis of socio-economic structure for development of these countries has been built up and their economy is gradually advancing forward. Compare to developed countries, through their per capita income and standard of living is less, but sufficient potentialities for the increase in per capita income and standard of living have been created in these countries. Main Characteristics of Developing Countries are:

- (a) **Tendency of Per Capita Income to Increase:** In developing countries through the per capita income is less but there is a tendency of increase of the per capita income.
- (b) **Dynamism in Economic Programmes:** In developing countries development programmes are undertaken constantly for economic development. As a result there exists dynamism in economic activities of these countries.
- (c) **Gradual Development of Agriculture and Industry:** In developing countries the condition of agriculture and industry are not so developed as in developed countries. But efforts are made to solve the existing problems in these fields. As a result, tendency of gradual development are created there.
- (d) **Unemployment and Economic Disparity:** When the developing countries steps in for development they face various economic problems. The expected rate of development is not achieved in agriculture and industry. For this unemployment problem persists there. In the absence of proper distribution there prevails economic disparity.
- (e) **Planned Development Efforts:** Developing countries try to achieve fast economic development. For this, through specific planning development efforts are made in these countries.
- (f) **Socio-economic problems:** Even though process of economic development continuous in developing countries, there exist side by side various economic and social problems. For examples: underdeveloped agriculture and industry, high rate of population growth, unemployment underdeveloped economic and social infrastructures etc. takes enough time to solve these problems.
- (g) **Gradual Development of Social Environment:** In developing countries production and income increase gradually. The rates of literacy and urbanization also increase. As a result the social environment improves, though at a slow rate

Most of the countries of Asia including India, Pakistan, Sri Lanka and Bangladesh, Africa, Latin America are in the category of developing countries.

3. Developed Countries:

The countries where substantial development has taken place and where per capita

income of the people and their standard of living are very high are called developed countries. Productivity in agriculture and industry is high in these countries as a result of application of adequate capital and extensive technical knowledge. The rate of unemployment is negligible. The supply of goods of daily use and luxury are sufficient. Transport and communication system is developed and facilities for education, health, housing, etc. are available in abundance. Main characteristics of developed countries:

- (a) **High Per Capita Income and Standard of Living:** In developed countries the per capita income is very high and standard of living is also very high. For example, the per capita income of the people of Bangladesh is 1587, in India it is 3337 and in Pakistan 2678. But it is more than 47,094 in United state. (UNDP)
- (b) **Extensive Industrialization:** Developed countries are highly resourceful in industry. In these countries larger parts of national income come from industries. Their major export items are also industrial goods.
- (c) **Abundance of Capital:** In developed countries production of capital goods is more. Because of insufficient capital, economic development in these countries is expedited.
- (d) **Full Utilization of Resources:** In developed countries through the use of sufficient capital and technology total resources can be utilized to the full extent. So total production becomes high.
- (e) **Developed Technological Knowledge:** In developed countries significant advancement of technical knowledge becomes possible. As a result the skill of laborers and the volume of production increase.
- (f) **Developed Transport and Communication System:** In advanced countries roads, railways, waterways, transport, and communication system are developed. As a result, facilities, increases for the people in their way of living and for the implementation of development programs.
- (g) **Higher Rate of Education:** The rate of education is also high in developed countries. The rates of education in England, America, and Germany etc. are nearly 98
- (h) **Skilled Manpower:** Because of sufficient facilities for education. Training and resource etc. majority of the laborers of developed countries are highly skilled. This helps to accelerate industrial development.
- (i) **Less Pressure of Population:** In almost all developed countries the rate of population increase is less. So there is no problem in the implementation of development programmes.
- (j) **Developed Social Environment:** In developed countries, because of extensive industrialization high rates of education urbanization higher standard of living etc. there is no religious fanaticism, superstition and orthodoxy in society. It means the social environment is conducive to development.

At last we say, countries like United States, England, Canada, Japan, Australia, France, and Belgium etc. are in the category of developed countries. The average per capita incomes of the people of these countries are within the range from 30,000 dollar to 52000 dollar, whereas the per capita income in India, Pakistan and Bangladesh are within 1587 dollar to 3337 dollar.

9 Whether Bangladesh is an underdeveloped or developing country

Bangladesh is finally going to be recognized as a developing country economically and socially in March, 2018, crossing over from the list of least developing countries (LDCs). Bangladesh has achieved all the three conditions that were needed to be a developing country. However, the announcement will be effective in 2024 after being assessed by the United Nations Economic and Social Council. The council will make the announcement by considering three aspects of the country economic risk, human development, and per capita income. In the meantime, Bangladesh has to maintain its progress. Planning Ministry sources said the United Nations Committee for Development Policy (CDP) creates indexes for countries every three years based on their per capita income and social issues.

Based on the indexes, the countries of the world are divided into three categories: least developing countries (LDCs), developing countries and advanced countries. Bangladesh has reached the second phase after meeting the eligibility criteria of CDP now it is a matter of time for the country to emerge from the LDC list to the list of developing countries. According to the 2015 assessment by CDP, a country needs 32 points (or less) in the economic risk index, 66 or more points in the human development index, and \$1,242 per capita income to be considered as a developing one. In 2015, Bangladesh's position in the economic risk index stood at 25.1 points, 63.8 points in the human development index, and it had \$923 per capita income based on the Atlas system. However, according to a meeting between the government and the CDP this year, it was found that Bangladesh has 72.8 points in the human development index, earned below 25 points in the economic risk index, and has \$1,772 per capita income this year. Based on these numbers, Bangladesh has passed the test on the three indexes.

Commerce Minister Tofail Ahmed said: "Bangladesh will become a developing country in March 2018. Bangladesh has achieved the three conditions that are required for it." He said: United Nations Economic and Social Council's evaluation committee will hold a meeting this month where the topic of Bangladesh being declared as a developing country will be discussed. "We can hope that the council will make the announcement. We will be given time to prepare for the announcement to be effective. By 2021, Bangladesh will be-

come a developing country in the same year when it will celebrate 50 years of independence. However, even if Bangladesh gets the recognition, the country has to seriously maintain the progress over the next 15 years. This will be a one-way process for Bangladesh. Bangladesh may not get back its previous title even if it is a possibility as countries which have over 75 million people cannot get the LDC title. Thus, Bangladesh has no scope for going back.

Recently, the International Monetary Fund (IMF) has predicted that the global economy will pace forward in 2018. Bangladesh will be able to take advantage of it if it makes adequate preparations. When asked about what Bangladesh should do in order to gain the recognition, Professor Mostafizur Rahman, a fellow at the Centre for Policy Dialogue (CPD), said: "We need to focus on improving the efficiency and productivity of our technologies." Three million people are still living below the poverty line in Bangladesh. Our economy is still not fully industrialized. In this context, along with the diversification of export products, we will have to move towards a production economy from an economy which is dependent on situation." He added: "Thus, we cannot solve all our problems merely through this recognition. He said: We need to focus on improving our business environment, port and infrastructural development so that we can at least maintain the right price of goods in the market even if we do not get duty-free access. Besides, we need to be more efficient with our macroeconomics and ensure good governance. It should be noted that Bangladesh will get the trade facilities of LDCs till 2024 even if the country gets the recognition of developing country this year.

10 Vicious circle of poverty

The main obstacle towards economic development faced by both undeveloped and developed countries is poverty. Even though development efforts are being carried out in these countries, there exist various types of economic problems. There prevails a special economic situation called Vicious Circle of Poverty.

Vicious Circle of Poverty which creates an obstacle to economic development. According to Professor Ragnar Nurkse *The vicious circle of poverty is such a combination of certain forces which through mutual actions and reactions keep a country poor. He also said a country is poor because it is poor.* For example, a poor man may not have enough to eat; being underfed, his health may be weak; being physically weak, and his working capacity is low, which means that he is poor.

The basic vicious circle stems from the fact that in least developed countries (LDCs) total productivity is low due to deficiency in capital, market imperfections, economic backwardness and underdevelopment. The vicious circle of poverty operates both from the demand side and supply side.



1. **Demand Side:** The demand side of vicious circle is that the low level of real income leads to low level demand, which in turn, leads to a low rate of investment and hence back to deficiency of capital, low productivity and low income.
2. **Supply Side:** Low productivity is reflected in low real income. The low level of real income means low savings. The low level of savings leads to a low level of productivity and to deficiency of capital. Deficiency of capital, in turn, leads to a low level of productivity and back to low income.

It can be seen from the diagram that the vicious circle of poverty keeps a poor country poor by revolving within its own orbit. Vicious circle of poverty prevails in Bangladesh. The poverty circle created here is mainly less capital based and less production based. Less demand and less investment originate from less production and less income. As a result, there is again lack of capital and less production.

The third vicious circle develops underdeveloped human and natural resources. The development of natural resources is depending upon the productive capacity of the people of the country. If people are backward and illiterate, lack in technical skill, knowledge and entrepreneurial activity, the natural resources will tend to remain unutilized even misutilized. On the other hand, people are economically backward in a country due to underdeveloped natural resources. Therefore both consequences cause of backward people. This is explained in Fig.



Poverty and underdevelopment of the economy are thus synonymous. A country is poor because it is underdeveloped. A country is underdeveloped because it is poor and remains underdeveloped as it has not necessary resources for promoting development. Poverty is a cause, but a greater is that it is self-perpetuating.

11 Basic economic problems of Bangladesh

In developing countries, there are generally certain basic economic problems which hinder economic development of a country. Problems of this nature are called basic economic problems. As a developing country like Bangladesh has some problems which creates obstacles to the path of economic development. These problems are given below.

1. **Undeveloped Agriculture:** Bangladesh is an agro based country. About 75% people of this country are dependent on agriculture. But due to traditional system of cultivation, lack of facilities for irrigation, manures, seeds, agricultural loans and natural hazards etc. our production in agriculture much less than developed countries.
2. **Undeveloped Industry:** In spite of available necessary raw materials and surplus man power. The pace of industrial development of this country is very slow due to lack of capital, developed technical knowledge, skilled labor, improved infrastructure, proper planning etc. The contribution of industry to the national income is only 29.93%. Due to undeveloped nature of agriculture and industry, economic development is not easy.
3. **Less Per Capita Income:** Per capita income of the people in this country is very low due to low production in agriculture and industry. In the United states are per capita income is 47094 dollar, in Japan 34692 dollar, in Germany 35308 dollar, in peoples of republic of china 7258 dollar. Where as in Bangladesh it is only 1587 (UNDP-2011) dollar.
4. **Low Standard of Living:** About 50% people of Bangladesh live below the poverty line due to low income. They fail to collect to minimum amenities for their living. More than half of people of this country at present suffering from hunger, malnutrition have become seek and have lost strength for work.

5. **Inadequacy of Capital:** Savings in Bangladesh are less because of low income. As a result, the rate of capital formation is low. Due to lack of adequate capital investment and production in agriculture and industry are very low. This low production is the root cause of our poverty.
6. **Rapid Population Growth:** The present rate of population growth in Bangladesh is 1.40%. This rate of population increase is much higher compared to many other countries of the world. The vast population of the country has many problems including food deficit and unemployment. That is why the population problem has been identified as number one national problem.
7. **Unemployment Problem:** At present acute unemployment problem exists in Bangladesh due to rapid population growth and lack of employment opportunities. About 30 percent of productive labors of the country are unemployed.
8. **Food Deficit:** Food deficit has been persisting in Bangladesh for a long time though it is basically an agricultural country. At present our annual food deficit is about 40 lacks of tons. Because of undeveloped method of cultivation, lack of improved seed, fertilizer and pesticides, absence of sufficient irrigation facilities, natural calamities, and rapid population of is less than the requirement.
9. **Lack of Education:** Education is one of the main determinants of economic development. At present in Bangladesh about 55% of population is illiterate. Because of this wide spread illiteracy, social environment of our country is not favorable for economic development.
10. **Deficit in Foreign Trade:** Since production in agriculture and industrial sector in Bangladesh is low, the volume of export is also less. But to meet the diversity of demand of our ever increasing population and also for developmental needs imports are far greater than export.
11. **Over Dependence on Foreign Aid:** As the per capita income of the people of Bangladesh is low their savings are also low. As a result sufficient fund that is required for economic development cannot be met from international resources.
12. **Underdeveloped Socio-economic Infrastructure:** Our economic Infrastructure are such as road, rail and water ways, irrigation system, river and sea-ports, electricity and water supply, telecommunication system etc. are not developed. Here social infrastructures are like education, training, research, public health, cultural consciousness, values etc. are not also developed. For poor infrastructure the economic and social development of this country hampered.
13. **Lack of Proper Planning:** In Bangladesh there is absence of proper pragmatic planning for economic development. Full implementation of planning cannot be done. As a result, desired development cannot be achieved in agriculture, industry, education, health etc. sectors.

14. **Undeveloped Social Environment:** The influence of social environment in Bangladesh is not developed due to lack of education, bad education, superstitions, religious fanaticism, unreasonable religious decrees etc.
15. **Political Instability:** Political stability and discipline and peace are the preconditions of development. But in Bangladesh, production in mills and factories and other development oriented programmes are hampered due to prevailing political instability, social agitations and unrest.

12 Solution of economic problems of Bangladesh

Solution of economic problem is must in Bangladesh for the sake of economic development of the country. Adoption of the following steps is necessary for this purpose:

1. **Agricultural Development:** Bangladesh is mainly an agricultural country. So the principal means of our economic development is development of agriculture. With agricultural development, income of most of the people of this country and their standard of living will increase. Agricultural development shall have to be attained through adoption of modern agricultural method. Use of improved seeds and manures, increased irrigation facilities, adequate agricultural loan, flood control, cooperative farming etc. is necessary for the purpose.
2. **Rapid Industrialization:** At present it is not possible on the part of any country of the world to attain economic progress without industrial development. Industrial development in our country shall have to be achieved side by side with agriculture for increasing national income and employment opportunities.
3. **Capital Increase:** An increase in capital investment in the sector of agriculture, industry, trade and commerce etc. will lead to increase production and income. For this purpose, savings of the people are to be increased for increasing capital. Proper social environment has to be maintained for profitable investment.
4. **Full Utilization of Natural Resources:** There are fertile agricultural land, water resources, natural gas and other mineral resources in Bangladesh. Bright prospect for discovery of some more mineral resources is also there production, income and employment opportunities will increase if these natural resources are properly utilized.
5. **Population Control:** It is not possible to achieve economic development in the present rate of increase of population cannot be controlled. For this, the tendency of population increase should be controlled through family planning.
6. **Spread of Education:** Education is a significant force to solve economic problems and ensure economic development. The illiteracy of the people shall have to be re-

moved through extensive spread of education. As a result, efficiency of labor will increase and development oriented attitude of the people will be created.

7. **Improvement of Technical Knowledge:** Technical knowledge of workers shall have to be improved for the purpose of increasing production in mills and factories. For this purpose, it is necessary to establish more technical schools, colleges and training centers in the country.
8. **Solution of Unemployment Problem:** Unemployment shall have to be removed for the purpose of increasing per capita income of the people and improving their standard of living. For this purpose, labor intensive small industrial factories and professions instead of capital intensive industries shall have to be built up.
9. **Development of Economic Infrastructure:** Developed economic infrastructure is indispensable for improvement of agriculture, industry and trade and commerce. Rapid development of basic infrastructure in our country like roads and high ways, rail and water ways, telecommunication, water irrigation, electric supply, ports, embankments, etc shall have to be made.
10. **Proper Utilization of Foreign Aid:** Bangladesh receives every year a huge amount of foreign loans and aid from World Bank other organizations and different countries. Proper utilization of this foreign assistance will increase the pace of our development.
11. **Sound Planning:** Sound planning is most essential for solution of economic problems and rapid development. Besides, formulation of rural based planning and implementation are essential for development of our rural economy.
12. **Poverty Alleviation Programmes:** Innumerable helpless and poor men and women of Bangladesh should be given loans and aid through various government and non-government organizations for self employment. Through this assistance they will be able to keep themselves engaged in self-employed occupations such as dairy poultry farming, live-stock rearing, cultivation of flowers and vegetables, establishment of handicrafts, small shops etc.
13. **Equitable Distribution of National Income:** At present wealth is being concentrated in the hands of a few people of Bangladesh. As a result, the number of poor people and their level of poverty are increasing. This situation is adverse to social and economic welfare. Arrangement shall have to be made for equitable distribution of income and wealth through adoption of appropriate principles of development.
14. **Improvement of Social Environment:** Our social environment shall have to be improved through expansion of education and culture, social movement and formulation of appropriate laws. The path of development will be smooth with the removal of superstitions, religious fanaticism, adverse social rules and regulations etc.
15. **Sound Administrative Arrangements:** Our administrative system shall have to be made sound and efficient for solving economic problems and to help economic

development. Proper understanding and cooperation among different administrative divisions are to be increased.

In one word, the best way of solving economic problems of our country is uninterrupted economic development. For this purpose, planned development programs should be undertaken in a planned manner.